AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI EXAMINATION

APRIL/ MAY 2018

Principles of Accounting Paper II

Time: 2 hours 20 minutes Marks: 70

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are TWELVE questions. Answer ALL questions. Choices are specified inside the paper.

3. When answering the questions:

   Read each question carefully.
   Use only a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a scientific calculator if you wish.

6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 5 Marks)

a. Ahmed prepares his accounting records for a period of 12 months which starts from April 01 and ends on March 31 each year.

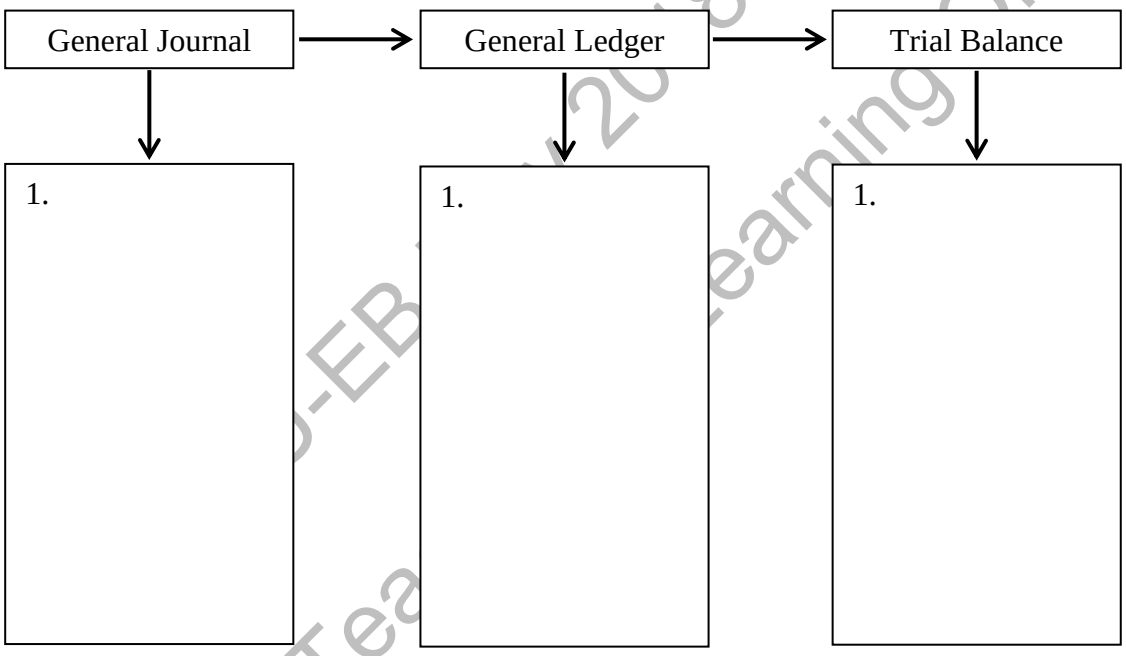
i. Identify the accounting period followed by Ahmed. (1 Mark)

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ii. Name the other accounting period that can be used by accountant for preparing financial statements. (1 Mark)

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b. Complete the given figure by mentioning the objective of each of the stages of accounting cycle. (3 Marks)



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Q.2. (Total 5 Marks)

Analyse the effect of the given accounting transactions performed by Mr Adil on the accounting heads as debit and credit.

S. No.	Scenario	Debit	Credit
1	Purchased office supplies on account for Rs 5,400		
2	Purchased merchandise worth Rs 25,000		
3	Sold goods on account to Mr Saleem for Rs 6,700		
4	Purchased fixtures for the store worth Rs 250,000		
5	Sold goods for Rs 10,000		

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Q.3. (Total 5 Marks)

Following balances have been extracted from the books of ABC Traders as on March 31, 2018.

S. No.	Account heads	Amount (Rs)
1	Cash in hand	35,000
2	Supplies	5,000
3	Purchases	45,000
4	Trade payables (accounts payable)	1,500
5	Purchases returns	3,500
6	Sales	75,000
7	Sales returns	1,500
8	Insurance expense	9,500
9	Prepaid rent	11,500
10	Salary expense	8,500
11	Advertisement expense	7,500
12	Commission income	15,000
13	Inventory on April 01, 2017	10,000
14	Capital	39,500
15	Drawing	1,000

Prepare the trial balance as on March 31, 2018 for ABC Traders from the given balances on page 5.

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S. No.	Particulars	Debit	Credit

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Q.4. (Total 5 Marks)

a. Differentiate between ordinary and imprest petty cash system. (2 Marks)

Ordinary Petty Cash System	Imprest Petty Cash System
1.	1.

b. The given petty cash book has been taken from the books of Nehal Traders for the month of March 2018. (3 Marks)

Petty Cash Book

Receipts	Date	Details	Voucher No.	Total	Postage and Stamps	Conveyance	Printing and Stationary	Coolie and Cartage	Miscellaneous
650	Mar 01	Balance b/d							
2,850	Mar 01	Cash							
	Mar 05	Conveyance paid		180		180			
	Mar 09	Stamps bought		45	45				
	Mar 16	Colour paper bought		110			110		
	Mar 19	Tips given to peon		50					50
	Mar 21	Purchase memo book		1,650			1,650		
	Mar 23	Paid to coolie		130				130	
	Mar 25	Local travelling paid		160		160			
	Mar 31	Letter post		120	120				
				2,445	165	340	1,760	130	50
		Balance c/d		1,055					
3,500				3,500					
1,055	Apr 01	Balance b/d							
2,445	Apr 01	Cash							

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Prepare the general entries in the books of Nehal Traders for the following transactions.

i. Replenishment of petty cash fund on March 01, 2018

ii. Payment made from petty cash fund

iii. Reimbursement of petty cash fund on April 01, 2018

Date	Particulars	P.R.	Debit	Credit

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Q.5. (Total 5 Marks)

Roshan Sons maintains three column cash book. At the end of February 2018, the bank column of the cash book showed a debit balance of Rs 16,200.

Upon comparison with bank statement, the accountant of Roshan Sons found that following items were missing in the cash book.

- Bank charged Rs 250 for the issuance of cheque book.
- Standing order of Rs 12,000 against insurance premium was paid by bank.
- A customer deposited Rs 6,500 directly into the bank.
- Bank received dividend of Rs 2,350 for Roshan Sons.

Prepare the cash book (bank column) and bring down the updated balance that would appear in the cash book on March 01, 2018.

Roshan Sons
Cash Book (Bank Column)

Balance b/d	16,200		

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Q.6. (Total 5 Marks)

The following adjusting entries were made by Abbas Brothers for the year ended December 31, 2017.

S. No.	Particular	P.R.	Debit	Credit
A	Salaries expense		5000	
	Salaries payable			5000
B	Prepaid advertisement		1,250	
	Advertisement expense			1,250
C	Merchandise inventory		2500	
	Expense and revenue summary			2500
D	Commission receivable		2000	
	Commission income			2000
E	Bad debts expense		1500	
	Allowance for bad debts			1500

From the given adjusting entries, prepare the necessary reversing entries wherever possible. If there is no reversing entry mention '**NOT possible**'.

Date	Particular	P.R.	Debit	Credit

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Q.7. (Total 5 Marks)

The balances have been extracted from the books of Laraib Traders after the preparation of income statement for the year ended December 31, 2017.

Particulars	Amount (Rs)
Bank	50,000
Bank loan repayable at December 31, 2020	600,000
Trade payables (accounts payable)	70,000
Trade receivables (accounts receivable)	100,000
Plant and Machine	2,000,000
Allowance for depreciation on plant and machine	900,000
Inventory at December 31, 2017	30,000
Drawings	24,000
Capital at January 01, 2017	559,000
Net profit for the year ended December 31, 2017	75,000

Prepare statement of financial position (balance sheet) in classified form for Laraib Traders as on December 31, 2017.

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Q.8. (Total 5 Marks)

Identify the revenue and capital expenditure in each of the given scenarios.
(**Note:** The first example has been done for your assistance.)

S. No.	Scenario	Type of Expenditure
1	**An educational institute purchased food supplies for the school canteen and also bought 500 chairs and tables.**	**Purchase of food supplies will be revenue expenditure whereas purchase of chairs and table is capital expenditure.**
2	A company deals in sales of computers. It has opened a new branch at another location for which it acquired a building and computers.	
3	A company involved in real estate business, has purchased a building for the purpose of reselling and bought machinery for repair and maintenance work.	
4	A fast food restaurant recently purchased an area for dine-in and also purchased necessary crockery items.	
5	A superstore acquired new weighing machines, delivery counters and packaging material for their store.	
6	A pharmaceutical company is extending its operations in different cities. They have acquired new stores in different cities and have also purchased 800 mugs for promoting their medicines.	

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Q.9. (Total 5 Marks)

The following records are extracted from the books of Al-Hamd Traders. The opening stock is valued 500 units @ 2.0.

Date	Stock in	Rate	Stock out	Rate
01.01.17	1500	2.0	1000	4.0
03.01.17	700	2.5		
05.01.17			1200	3.0
07.01.17	600	3.0		

Prepare the inventory chart for Al-Hamd Traders by weighted average cost (AVCO) perpetual method.

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Date	Particulars	Receipt			Issued			Balance		
		Units	Rate	Amount (Rs)	Units	Rate	Amount (Rs)	Units	Rate	Amount (Rs)

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Q.10. (Total 5 Marks)

The following records are extracted from the books of Al-Hamd Traders. The opening stock is valued 500 units @ 2.0.

Date	Stock in	Rate	Stock out	Rate
01.01.17	1500	2.0	1000	4.0
03.01.17	700	2.5		
05.01.17			1200	3.0
07.01.17	600	3.0		

Compute the net inventory balance through first in first out (FIFO) perpetual method.

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Date	Particulars	Receipt			Issued			Balance		
		Units	Rate	Amount (Rs)	Units	Rate	Amount (Rs)	Units	Rate	Amount (Rs)

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Q.11. (Total 10 Marks)

EITHER

a. The following balances have been extracted from the books of Ahmed Store on January 01, 2018.

Cash and bank	Rs 63,000
Trade receivables (accounts receivable)	Rs 116,000
Trade payables (accounts payable)	Rs 97,000

Ahmed Store had the following transactions for the month of January 2018.

Jan 01:	Purchased goods from Shahbaz Traders for Rs 17,000 and issued a cheque.
Jan 05:	Paid Rs 9,000 as an advance rent for the month of January 2018.
Jan 10:	Sold goods of Rs 16,000 to Shams Brothers. Shams Brothers paid Rs 7,000 and agreed to pay the balance in February.
Jan 15:	Paid Rs 4,700 by cheque for new fixtures and fittings.
Jan 20:	Received an outstanding cash balance of Rs 23,000 from a customer.
Jan 25:	Paid Rs 6,000 to a supplier by cheque, this amount was due since November 2017.
Jan 30:	Bank informed Ahmed Store that the cheque received on January 20, has been dishonoured.

Post the given transactions in the following ledgers, and balance these ledgers as on February 01, 2018.

Cash	

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Trade Receivables (Accounts Receivable)	

Trade Payables (Accounts Payable)	

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OR

b. Bashir Traders completed the following transactions during the first month of their business operation.

Feb 01: Invested cash Rs 60,000 and furniture Rs 130,000.
Feb 03: Opened a bank account by depositing Rs 45,000.
Feb 05: Issued a cheque of Rs 10,000 and agreed to pay Rs 13,000 on March 05 to Rashid Sons for the goods purchased.
Feb 10: Sold goods to Amir Sons for Rs 9,500 on credit.
Feb 15: Bought goods on credit from Basit Enterprises on credit for Rs 7,600.
Feb 20: Returned defective goods of Rs 600 to Basit Enterprises and paid the balance amount by cheque.
Feb 28: Paid Rs 9,000 as rent for the month of February 2018.

Prepare the general entries for the given transactions in the books of Bashir Traders.

Date	Particulars	P.R.	Debit	Credit

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Date	Particulars	P.R.	Debit	Credit

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Q.12. (Total 10 Marks)

EITHER

a. The following trial balance has been extracted from the books of Shafi Traders as on March 31, 2018.

Particulars	Debit	Credit
Purchases	914,000	
Sales		1,340,000
Marketing expenses	90,000	
Administrative expenses	140,000	
Interest expense	40,000	
Building	850,000	
Allowance (provision) for depreciation - Building		90,000
Machinery	450,000	
Allowance (provision) for depreciation - Machinery		130,000
Inventory on April 01, 2017	280,000	
Trade receivables (accounts receivable)		410,000
Bank	106,000	
Trade payables (accounts payable)		180,000
Capital		720,000
Total	**2,870,000**	**2,870,000**

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Data for adjustment

1. Inventory on March 31, 2018 is valued at Rs 339,000.
2. A customer account was written off at the end of the year, the amount outstanding from him was Rs 4,000.
3. Prepaid interest amounted to Rs 6,000 at the end of the year.
4. Depreciation is charged as follows:
    - Building is depreciated at 10% under straight line method.
    - Machine is depreciated at 10% under diminishing balance method.

Prepare income statement in a classified form for Shafi Traders for the year ended March 31, 2018.

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OR

b.

i. Identify the types of accounting error in the given table.

Accounting Errors	Type of Error
Collection from trade receivables (account receivables) of Rs 120,000 was not recorded by Mr Faqir.	
Sales return of Rs 10,500 was recorded as purchases by Mr Karim.	
Payment for plant repairs of Rs 15,000 was posted in books as Rs 1,500 by Mr Sumair.	
Credit purchases amounting to Rs 102,000 was posted in the purchases account as Rs 120,000 by Mr Ammar.	
Payment of Rs 35,000 received from the customer was posted to cash account but was not recorded in customer account by Mr Saleem.	

ii. Post the general journal entry to correct the errors given in part i.

Date	Particulars	P.R.	Debit	Credit

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Date	Particulars	P.R.	Debit	Credit

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END OF PAPER

Please use this page for rough work

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